Wedge Segments Overview

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Where we are

We are testing three federal-contractor segments to pick one wedge; federal construction is the lead candidate.

The end goal is an AI-native lender that competes with the big banks across many lending products, the way Corgi did in insurance. Corgi won by owning one customer segment first, then expanding products and verticals. Our wedge needs the same: a segment banks underserve, where we see data they don't use, and that grows into bigger loans.

Federal contractors fit because the end payer is the US government and award data is public, so we can find and pre-underwrite prospects before the first call.

Segment	Core cash-flow pain	First product	Competition	Data edge	Priority
Federal construction contractors and subs	Bonding, mobilization, payroll before first payment, closeout holdbacks	Mobilization advance and approved-invoice bridge	Factors, GovCon lenders, construction fintechs, none built for both	Public awards, Davis-Bacon payrolls, payment bonds	1 (lead)
DoD manufacturing suppliers	Materials and production months before delivery	Purchase-order and production financing	PO financing shops, Leonid for tech firms	Public awards, delivery schedules	2
VA community care providers	Slow claims through third-party administrators	Receivables financing on VA claims	Medical factoring firms	Claims and payer data	3

Segment 1: Federal construction contractors and subs

Small firms building and repairing on military bases, VA hospitals, national parks and federal roads. This is our lead segment.

Why it's interesting

- The government pays, and on jobs above $150K a payment bond backs the prime contractor, so payer risk is low.
- Every award is public on USAspending and SAM.gov. We already have a ranked list of 100 California prospects from 627 firms with recent activity.

- A real contract (March ARB paving, $500K–1M, 120 days) shows the cash gap: bid bond, 100% performance and payment bonds, weekly Davis-Bacon payroll, monthly payment after approval, and 5% held until closeout paperwork. Our rough estimate is that a contractor carries about a third of contract value at peak, to be confirmed in interviews.
- Clear product ladder: mobilization advance, invoice bridge, closeout financing, bonding support, then lines of credit, equipment and acquisition loans.

What we learned that changes the thesis

Retainage is smaller than expected at prime level: the government can only hold it for unsatisfactory progress. The bigger pains are bonding capacity, mobilization cash, paperwork-driven payment delays and the closeout holdback. Subs may still face retainage from primes; we need to confirm.

Competition

- GovCon lenders (Leonid, OppZo, Parabilis) focus on defense tech, IT and services, not construction.
- Construction fintechs (Billd, Constrafor, Procore Pay) focus on private commercial jobs and aren't built around federal rules.
- Factoring firms and community banks are the status quo: manual, slow, expensive.
- Biggest long-term threat: Procore adding federal sub financing.

Our angle

Pre-underwrite from public award data, fund the whole job cycle, and offer software that produces certified payrolls, invoices and progress reports. That removes the main causes of withheld payments and gives us live job data to lend against.

Open questions

- ☐ How do small federal contractors fund mobilization today, and at what cost?
- ☐ How much do primes withhold from subs, and for how long?
- ☐ Is bonding capacity or cash the tighter constraint?

Segment 2: DoD manufacturing suppliers

Small manufacturers and parts suppliers making components for the Department of Defense, as prime contractors or as suppliers to primes. Not yet researched in depth.

Why it's interesting

- They buy raw materials and run production for months before delivery and payment, a large and recurring gap.
- Defense spending and the defense-tech boom are pulling more small suppliers into the supply chain.
- Fits our earlier inventory-financing instinct: the loan funds materials against a government purchase order.
- Product ladder: PO financing, production lines of credit, equipment loans, then acquisition financing.

Competition

Purchase-order financing shops and factors serve parts of it. Leonid funds tech-heavy defense firms with larger tickets ($1M–25M). Small machine shops and component makers look underserved, to be confirmed.

Open questions

- ☐ How long is the gap from order to payment for a typical small supplier?
- ☐ Do most suppliers sell to primes (private payer) or directly to DoD?
- ☐ Can we see enough order data to underwrite?

Segment 3: VA community care providers

Clinics, home health agencies and other providers treating veterans under VA community care, paid through third-party administrators. Not yet researched in depth.

Why it's interesting

- Large, recurring receivables from a single government-funded program.
- Claims are often reported to pay slowly, which creates a steady working-capital need. We still need to verify current payment times.
- Receivables financing is simple to underwrite once claims data is visible.

Competition

Medical factoring firms and healthcare lenders. Likely more crowded than construction, and regulated health data adds compliance work.

Open questions

- ☐ What are current payment times on VA community care claims?
- ☐ How do providers bridge the gap today?
- ☐ Does health-data compliance make this too slow to start?

A segment passes when interviews show all five:

1. **Acute pain:** most owners describe a cash gap on recent jobs without prompting, and can name what it cost them.
2. **Bad current options:** they use factoring, credit cards, personal money or turn down work.
3. **Willingness to pay:** they'd pay a fee competitive with factoring for faster, simpler money.
4. **Underwriting edge:** on 10–20 firms, public data plus a few documents lets us predict which ones pay back, better than a bank would.
5. **Reachability:** we can book interviews at a reasonable rate through LinkedIn, phone and referral partners.

Target: 25 owner interviews in the lead segment and 10 in each of the other two, plus 5 factors, 5 bank lenders and 5 APEX Accelerator counselors.